

Judgment Sheet
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

FAO No. 10678/2021

Syed Sharafat Hussain Naqvi

Versus

Lahore Development Authority Commission etc.

J U D G M E N T

Date of hearing:	12.02.2026
Appellant by:	Mr. Liaqat Ali Butt, Advocate.
Respondents by:	Sahabzada Muzaffar Ali, Advocate assisted by Barrister Ali Mujtaba.

MALIK WAQAR HAIDER AWAN, J:- Through the instant appeal, appellant has made the following prayer:-

In the light of above submissions it is prayed that the impugned order dated 01.02.2021 passed by LDA Commission is not only outcome of misreading and non reading of evidence but also violative to the fundamental rights enshrined under Article 25 of the Constitution of Pakistan as discriminatory treatment has been meted out with the appellant hence not sustainable in the eyes of law.

It is further prayed that the impugned order being discriminatory in nature, therefore appellant is also entitled the same relief as earlier granted in similar cases qua the Respondent No.3 & 4 in the interest of justice, equity and fair play.

It is further prayed that operation of impugned order may kindly be suspended.

Any other relief which this Hon'able court deems fit may also be granted.

2. Facts, in brief, giving rise to the present appeal are that appellant had challenged the order of cancellation of Plot No.295, Block ‘B’, M.A. Johar Town Scheme, Lahore (hereinafter called “**disputed plot**”).

Previously, Mst. Shahida Salah-ud-Din was granted exemption against the land measuring 14 Kanals falling in Khasra No.1803/312, Mouza Ajudhiapur, acquired by the Lahore Development Authority for M.A. Johar Town Scheme, Lahore. She was declared awardee of the said land with reference to LAC Award Part-B Sr. No.542. The allocation letter of this plot was issued to Mst. Shahida Salah-ud-Din through her General Attorney namely Ijaz Butt vide No. JT-AP-1688-F/7294 dated 24.09.1991, and Exemption Letter was issued vide No. JT-AP-1688-F-6242 dated 26.10.1992. Possession order of the disputed plot was issued on 05.11.1992. Thereafter, Mst. Shahida Salah-ud-Din, through her General Attorney namely Ijaz Butt, transferred the disputed plot in the name of present appellant on 09.12.1993.

Subsequently, the Land Acquisition Collector, Lahore Development Authority, vide letter No. LAC/LDA/64 dated 07.03.1996, intimated cancellation of Award of land measuring 154 Kanals 18 Marlas of various Khasra numbers mentioned in the said letter and it was declared that land measuring 154 Kanals 18 Marlas was the property of Provincial Government. The appellant came into the picture on 09.12.1993 when he was informed by the Director Land Development, Lahore Development Authority, that the said plot had been transferred in his name.

Subsequently, the Director Land Development, Lahore Development Authority, on 18.02.2000, cancelled the exemptions/allocations of plots granted against the said land on the ground that the land situated in Mouza Ajudhiapur was property of the Provincial Government. The said land had earlier been allotted to certain persons but such allotment had already been cancelled by the Settlement Authorities, upheld by this Court and the august Supreme Court of Pakistan, and Mutation No. 5714 dated 11.01.1990 was sanctioned in favour of the Provincial Government. During the proceedings, the revenue and settlement authorities repeatedly informed the Lahore

Development Authority that no allocation could be granted against the said land.

The land claimed by Mst. Shahida Salah-ud-Din formed part of the same property, therefore, her allotment/exemption was treated as illegal and her mutation was cancelled. The cancellation was communicated to the transferee on 26.02.2000. Thereafter, the appellant filed constitutional petitions before this Court. By way of order dated 30.06.2004, the matter was remanded to the Director Land Development-I, Lahore Development Authority, who vide order dated 29.03.2005 maintained the cancellation of award and exemption. Another writ petition was filed against the said order, which was allowed on 18.11.2014, and the Director Land Development-I, Lahore Development Authority, was directed to decide the matter afresh after hearing the parties and examining the record.

In compliance with order dated 18.11.2014 passed by this Court in Writ Petition No. 2144/2007, the Director Land Development-I, Lahore Development Authority, reconsidered the matter and reaffirmed cancellation of exemption/allocation of the disputed plot which was originally cancelled vide order dated 18.02.2000.

The present appellant, through his General Attorney, thereafter approached the Commission claiming to be a bona fide purchaser of the disputed plot. He asserted that the plot had been allocated to his predecessor-in-interest, Mst. Shahida Salah-ud-Din, against land measuring 14 Kanals in Mouza Ajudhiapur vide allocation letter dated 24.09.1991; requisite amounts were deposited; exemption was granted on 26.10.1992; possession was delivered on 05.11.1992; and the plot was transferred to him on 09.12.1993.

On refusal of sanction of site plan, Writ Petition No. 10685/2004 was filed and disposed of on 30.06.2004. Pursuant thereto, the Director Land Development-I, Lahore Development Authority, vide order dated 29.03.2005, maintained the earlier cancellation dated 18.02.2000 by

invoking Clause-17 of the exemption letter. The said order was challenged through subsequent writ petitions. Ultimately, Writ Petitions No. 2144/2007 and 315/2006 were allowed by this Court vide orders dated 18.11.2014 and 25.03.2015 and the matter was remanded.

Thereafter, the Director Land Development-I, Lahore Development Authority passed a speaking order dated 16.04.2015. Instead of challenging the said order before this Court, the appellant filed Reference before the Bonafide Commission, Lahore Development Authority, Lahore, which was ultimately rejected, and the Commission recommended that the disputed plot be retrieved in favour of the Lahore Development Authority. Feeling dissatisfied, the appellant has approached this Court by way of the instant appeal.

3. Learned counsel for the appellant contends that findings of the Bonafide Commission, Lahore Development Authority, are outcome of mis-reading and non-reading of evidence and he has emphasized that the transferee namely Arshad Imran (AW-4) had not uttered a single word to the effect that the disputed plot was cancelled at the time of sale agreement. Submits that agreement to sell between the appellant and Arshad Imran was signed partly on 14.03.1996 and finally on 04.07.1998 and General Power of Attorney was executed which was subsequently registered on 29.04.1999. Submits that the disputed plot was cancelled thereafter on 18.02.2000 which is established from the record. Avers that the Bonafide Commission, Lahore Development Authority took erroneous inference from the evidence deposed by the attesting witness namely Pervaiz Munir (AW-2) who was neither a transferor nor transferee, therefore, he did not come in the ambit of *bonafide* purchaser as provided under Section 41 of the Transfer of Property Act, 1882 (hereinafter referred to as “**Act 1882**”). Lastly submits that the appellant has fully established his plea that he is a *bonafide* purchaser without notice.

4. Conversely, learned counsel representing respondents/LDA submits that it was in the notice and knowledge of the appellant that title of vendee was imperfect, therefore, he was not a bonafide purchaser, nevertheless he knowingly purchased the disputed plot which was defective and further, credentials of the vendee did not fulfill the criteria of ostensible owner as provided under the law. Lastly argues that the order passed by the Bonafide Commission, Lahore Development Authority is immaculate and does not warrant any interference by this Court. Places reliance on judgment reported as Ghulam Rasool and others v. Noor Muhammad and others (2017 SCMR 81).

5. Heard. Record perused.

6. At the very inception, it would be imperative to throw light on the purpose and object of the Bonafide Commission which is defined and explained under Section 32 of the Lahore Development Authority Act, 2013 and the Lahore Development Authority Commission Rules, 2014. The Bonafide Commission determines and regularizes the rights of persons claiming to be *bona fide* purchasers or occupants of LDA land, especially in situations where disputes arise regarding ownership, allocation or transfer of plots. To comprehend in a better way, we can split its objectives in the following sequence:-

(a) to examine whether a person claiming a plot is a legitimate or *bona fide* purchaser/occupant and whether he acted in good faith, without knowledge of any illegality in the original allocation.

(b) to settle the disputes between the Lahore Development Authority and individuals over the ownership, possession or transfer of plots that may have been irregularly allotted, ensuring fair consideration of all parties' claims.

(c) In cases where plots were originally allotted irregularly, the Bonafide Commission may recommend regularization or retrieval, based on whether the claimant qualifies as a *bona fide* purchaser and whether such regularization aligns with relevant rules of Lahore Development Authority.

(d) the Bonafide Commission investigates the facts and provides recommendations to the Lahore Development Authority for action, whether to confirm, cancel or retrieve plots or direct other remedial steps. Its decisions are generally recommendatory, though they carry weight in guiding the Lahore Development Authority for taking decisive steps.

7. To summarize, the Bonafide Commission is a quasi-judicial body within the Lahore Development Authority aimed at balancing protection of the buyers who purchase the property with bonafide without any knowledge with regard to defect in the title of vendor. However, it is the duty of vendee that he may check the authenticity of the title of ostensible owner.

8. Record transpires that vide order dated 18.02.2000, the then Director Land Development-I, Lahore Development Authority cancelled the exemption/allocation of plots against land measuring 154 Kanals 18 Marlas which was based on order dated 18.03.1978 by the Additional Settlement Commissioner (Land) and land was reverted to the Provincial Government vide Mutation No. 5714 dated 11.01.1990. The order of cancellation was assailed by Abdul Hafeez etc. through constitutional petition No.69-R/1989 which was decided in favour of Government of the Punjab which was further assailed before the *august* Supreme Court of Pakistan through Civil Petition No.1001-L/1995 which was dismissed on 25.11.1998. The appellant and one Mst. Aziz Fatima (deceased) filed Writ Petition No. 10685/2004 against the order of cancellation of exemption of plots which was decided on 30.06.2004 with a direction that matter be decided after hearing both the parties. The Director Land Development-I, Lahore Development Authority Lahore in compliance with order of this Court decided the matter on 29.03.2005 while maintaining the order of cancellation.

9. At the first blush, the argument of learned counsel for the appellant appears to be weighty as he has submitted that the disputed plot was transferred to the appellant on 09.12.1993 whereas cancellation

took place on 18.02.2000 but while adverting to the evidence led by him, the deposition of his witness Pervaiz Munir (AW-2) destroyed his whole case by deposing in the following words:-

یہ درست ہے کہ LDA نے ٹرانسفر بند کی ہوئی تھی۔ کیونکہ پلاٹوں کا رقبہ سنٹرل گورنمنٹ کا تھا۔ مقدمہ چل رہا تھا۔ LDA نے پلاٹ منسوخ کر دیا ہوا تھا۔ تاہم گورنمنٹ مقدمہ جیت گئی تھی۔ یہ درست ہے کہ مندرجہ حالات کے باوجود پلاٹ کی خریداری کی گئی کیونکہ اکثر فیصلے جات تبدیل ہو جایا کرتے تھے۔ درست ہے کہ ارشد عمران میرا سالا ہے جو اُس وقت میرے ساتھ کام کیا کرتا تھا۔ میرا بنیادی طور پر کنسٹرکشن کا کام ہے۔ اس پلاٹ کا سودا میں نے ہی کروایا ہے۔

10. In these circumstances, the appellant cannot wriggle out of the admission made by his own witness, Pervaiz Munir (AW-2). Even if the petitioner became owner in the year 2000, his witness (AW-2) acknowledged the previous litigation, which takes the petitioner out of the ambit of *bonafide* purchaser as the knowledge of a witness is imputed to the party on whose behalf he is deposing. Admissions made by such witness, particularly regarding material facts, bind the party and cannot be disowned.

11. Section 41 of the Act 1882 is relevant to delve into the controversy which is reproduced hereunder for ready reference:-

Transfer by ostensible owner. Where, with the consent, express or implied, of the persons interested in immovable property, a person is the ostensible owner of such property and transfers the same for consideration, the transfer shall not be voidable on the ground that the transferor was not authorised to make it: Provided that the transferee, after taking reasonable care to ascertain that the transferor had power to make the transfer, has acted in good faith.

12. In the above backdrop, learned counsel for the appellant has failed to satisfy this Court with regard to Section 41 of the Act 1882 wherein essential principles are described which are to be fulfilled by a person claiming to be a *bonafide* purchaser.

13. For the foregoing reasons, since learned counsel for appellant has miserably failed to pinpoint any illegality, legal infirmity or jurisdictional defect in the impugned order, therefore, this appeal being devoid of force stands **dismissed**.

(MALIK WAQAR HAIDER AWAN)
JUDGE

Signed
24.02.2026

Abis Ali

APPROVED FOR REPORTING

JUDGE